Vinati Organics Limited

Investment Memorandum- Leveraged Buyout Analysis

- ***Financing Environment for Indian LBO's***

  The conservative nature of the Indian banking sector significantly constrains the financing of mergers and acquisitions, as the regulatory framework only permits banks to provide indirect financing via project financing or working capital loans rather than direct acquisition financing. This compels Indian acquirers to rely on private credit, non-banking financial institutions (NBFCs), offshore financing, or ultimately the bond market to fund their acquisitions, all of which generally come at a higher cost of capital.

- ***Scope for LBO's in the Indian Speciality Chemical Sector***

  Despite these financing constraints, the speciality chemicals segment is one of the more credible hunting grounds for leveraged acquisitions in India today. It is the strongest-performing pillar of the country's broader chemicals industry, running a net trade surplus, and spans sixteen sub-segments that score well on both cost competitiveness and market attractiveness from agrochemicals (a \$5.5 billion market growing at an 8.3% CAGR) to food and feed ingredient chemicals (a \$3 billion market growing at 7–9% CAGR).

  Three structural tailwinds make the sector particularly suited to debt-financed buyouts, where lenders need confidence in durable, contracted cash flows:

  1. **The China+1 shift**- India is positioned to capture manufacturing diversifying away from China, aided by low manufacturing wages, a lower corporate tax rate, and schemes such as PLI. A modest five-percentage-point shift in global specialty chemicals share from China to India would represent an \$8 billion opportunity for Indian players and a full 20% shift could nearly double the size of the domestic industry.

  2. **CRAMS (Contract Research and Manufacturing Services)**- What began as a pharmaceutical stronghold has spread to agrochemicals, with firms like PI Industries, SRF, Navin Fluorine, and Anupam Rasayan building decade-long track records with global clients. The Indian CRAMS market, valued at roughly \$21 billion in 2023, is projected to reach \$35.1 billion by 2028, a 10.8% CAGR, driven by process expertise, cost efficiency, and IP protection that generate recurring, sticky business.

  3. **Policy and sustainability tailwinds**- 100% FDI is permitted in chemicals, and the sector is being pushed toward green chemistry and net-zero commitments (by 2070), creating both funding support (e.g., PLI for green hydrogen and ammonia) and a runway of capex-driven, high-barrier-to-entry projects , exactly the kind of asset base that can support leverage.

These dynamics of the recurring revenue, high switching costs from long-qualification-cycle contracts, and capital intensity that discourages new entrants are the same characteristics private equity looks for in an LBO candidate: **predictable cash flow that can service debt, and a moat that protects margins through a leveraged holding period.**

- ***About Vinati Organics***

  Vinati Organics Limited (VOL) is a fitting case study. Founded in 1989 and headquartered in Maharashtra which itself a state that has actively courted chemicals investment, Vinati has grown from a single-product manufacturer into an integrated specialty chemicals business serving customers across more than 35 countries. It holds the position of the world's largest manufacturer of IBB and ATBS, two key organic intermediates, with roughly 65% global market share in ATBS specifically.

  The Company's track record is what makes it interesting from an LBO standpoint: standalone revenue reached ₹2,228 crore in FY 2025-26 (year ended March 2026), with net profit of ₹487.78 crore — up from

₹415.23 crore the prior year. Over the last ten years, revenue has compounded at roughly 14% CAGR and net profit at roughly 20% CAGR, translating into approximately 49x growth in shareholder wealth over that period. As of March 2026, Vinati continues to operate with a debt-to-equity ratio at or near zero, meaning the business remains essentially unlevered and self-funding even after more than three decades of growth.

A debt-free, high-margin, structurally advantaged compounder is attractive — but it is also exactly the kind of asset where paying too much for control (entry multiple) or over-levering the balance sheet can erase the equity case, however good the underlying business is. The following sections walk through the buyout structure modelled — entry pricing, financing mix, and projected cash generation — to test whether the returns justify the price and leverage assumed.

Methodology – Vinati Organics is not currently and has never been a part of an actual leveraged buyout. What makes this company stand apart is its capital structure which is essentially debt-free. This report is a hypothetical LBO scenario. Year 0 financials in this report, revenue, EBITDA, EBITDA Margin, D&A, Cap Ex and the entry multiple are Vinati's actual reported figures for FY25-26(Year ended March 2026) and it's trading multiple is sourced from FY26 results and market data. The leveraged capital structure and five year forward operating projections thus remain hypothetical and is assumed solely for modelling purposes. This is because, no actual buyout, debt financing or management projections exist for this scenario.

Sources	Amount	XEBITDA	% of capital
Bank Debt	30,738	4.7x	22.8%
Senior Notes	12,426	1.9x	9.2%
Total Debt	43,164	6.6x	32.0%
Sponsor Equity	91,560	14.0x	68.0%
Total Sources	134,724	20.6x	100%

Uses	Amount	XEBITDA	% of capital
Purchase of Equity	130,800	20.0x	97.1%
Refinancing of existing debt	0	0.0x	0.0%
Fees and Expenses	3,924	0.6x	2.9%
Total Uses	134,724	20.6x	100%

All figures in Rs. mm

- The Transaction is structured based on Vinati's actual FY26 consolidated LTM EBITDA of Rs 6,540 mm, at a modest 20.0x multiple, which is the company's real current market EV/EBITDA. This implies an enterprise value of Rs.1,30,800mm.

- As Vinati is debt-free, no refinancing of existing debt is needed and full enterprise value flows through as equity purchase price.

- The total leverage of 6.6x EBITDA is funded via a two-tranche debt structure that reflects the financing constraints discussed earlier. As Indian banks can't directly underwrite acquisition financing, the bank debt tranche here of (Rs 30,738mm and priced at 8.5%) is modelled as financing routed through structures banks can actually provide - which in this case is more of an asset-backed or working capital-linked facility at an operating company level, not a conventional US/UK term loan B secured directly against the buyout.

- The senior notes tranche here (Rs. 12,426mm and priced at 9.5%) represents the bond market and private credit financing as mentioned earlier as the fallback for Indian acquirers once bank capacity gets exhausted. This 100bps premium over the bank debt tranche shows the higher cost typically associated with these funding sources.

- As the entry price (20x EBITDA) is far more than the leverage capacity (in total of 6.6x EBITDA), debt only covers 32% of the capital structure. The remaining 68% is funded by sponsor equity.

Operating model – Five- Year Projection

Operating Model	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	22,269	26,722.68	32,067.22	38,480.66	46,176.79	55,412.15
% growth		*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*
EBITDA Margin	29.40%	29.9%	30.4%	30.9%	31.4%	31.9%
EBITDA	6,540	7,990	9,748	11,891	14,500	17,676
D&A (4% of revenue)	1,110	1,069	1,283	1,539	1,847	2,216
EBIT	5,430	6,921	8,466	10,351	12,652	15,460
% sales	*24.4%*	*25.9%*	*26.4%*	*26.9%*	*27.4%*	*27.9%*
Interest		3,793	3,943	3,861	3,677	3,360
EBT		3,128	4,523	6,490	8,975	12,100
% sales		*11.7%*	*14.1%*	*16.9%*	*19.4%*	*21.8%*
Taxes		1,742	2,131	2,605	3,185	3,891
% tax rate		*25.2%*	*25.2%*	*25.2%*	*25.2%*	*25.2%*
Net Income		1,386	2,392	3,884	5,791	8,209
% sales		*5.2%*	*7.5%*	*10.1%*	*12.5%*	*14.8%*

All figures in Rs.mm

- Year 0 revenue i.e. Rs. 22,269 mm and EBITDA margin of 29.4% are Vinati's real consolidated figures. Going forward, revenue growth of 20% is a hypothetical assumption. However, it is consistent with the management's guidance on the FY26 earnings call of a 20%+ revenue CAGR in the coming 3 years, this is underpinned by 200-250 cr of planned FY27 capex directed at new value- added products.

- EBITDA margin is expected to expand from the real 29.4% base to around 31.9% by Year 5. This is a 250bps improvement and is phased as 50bps per year (year 1-5). This is relatively a conservative assumption keeping in mind Vinati's recent trend i.e. the company's real consolidated margin expanded by 360 bps in FY26 alone from 25.8% to 29.4%. Hence, a 250bps further over the span of five years is deliberately measured as extrapolation than a straight-line continuation of an unusually strong single year.

- Like the original structure, entry as well as exit multiples are constant at 20.0x. It is entirely driven by underlying EBITDA growth and, also to some extent, deleveraging.

- The effective tax rate stands at 25.17% throughout. CapEx in Year 0 of Rs. 2,700 mm is Vinati's reported FY26 capital expenditure which is around 12.1% of the revenue. This real intensity is carried forward as the Cap-Ex to Sales ratio for the upcoming years of 1-5. D&A is at 4% of the revenue which is consistent with a capital intensive, plant-based manufacturer.

Cash Flow Items	Year 1	Year 2	Year 3	Year 4	Year 5
Net Income	1,386	2,392	3,884	5,791	8,209
+D&A	1,069	1,283	1,539	1,847	2,216
-CapEx	3,240	3,888	4,666	5,599	6,718
-Increase in NWC	980	1.176	1,411	1,693	2,032
Levered Free Cash Flow	(1,765)	(1,389)	(853)	(111)	892

Debt Schedule	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Bank Debt (Beg. bal.)	-	30,738	32,503	33,892	34,745	34,856
Interest (8.5%)	-	2,613	2,763	2,881	2,953	2,963
Paydown	-	(1,765)	(1,389)	(853)	(111)	892
Bank debt (End bal.)	30,738	32,503	33,892	34,745	34,856	33,964
Senior Notes (Flat)	12,426	12,426	12,426	12,426	12,426	12,426
Total Debt (End bal.)	43,164	44,929	46,318	47,171	47,282	46,390

All figures in Rs. mm

- Total Debt rises steadily from Rs. 43,164 mm at entry and to a high of Rs. 47,282 mm in year 4 right before slightly going down in Year 5 to about Rs. 46,390 mm. Levered Free Cash Flow on the other hand, is negative in four of the total five years, turning only marginally positive in Year 5.

- A business compounding revenue at 20% per year should also compound it's working capital and CapEx at a similar rate to support that growth. Together, these consume nearly all of the cash business generate, leaving little to no left for service, let alone a pay or acquisition debt. This becomes a realistic and important constraint for a high-growth target.

- In the end, this means that a real sponsor underwriting this deal would rely on undrawn revolving credit facility or any additional equity cures to bridge these particulars shortfalls, since the bank debt tranche structure simply capitalizes the gap onto it's own balance.

Return Analysis

Particulars	Value
EBITDA at Exit (End of Year 5)	17,676
Exit Multiple	20.0x
Enterprise Value at Exit	353,530

Particulars	Value
Net Debt at Exit	46,390
Sponsor Equity Value at Exit	307,139
Sponsor Equity at Entry	91,560
MOIC	**3.35x**
IRR (5 year)	**27.4%**

All figures in Rs. mm

- Based on the assumptions, the transaction mentioned above generates a 3.35x MOIC and a 27.4% IRR over the five-year hold period. The Exit EBITDA of Rs. 17,676mm at a 20.0x exit multiple shows an enterprise value of about Rs. 353,530mm at exit. Whereas, net debt at exit is Rs. 46,390, this yields a sponsor equity value to Rs. 307,139 mm against an entry equity check of Rs.91,560mm.

- Every leveraged buyout can be decomposed into three levers i.e. multiple expansion , EBITDA growth and deleveraging . Here multiple expansion contributes to nothing as entry and exit multiples are the company's real current market multiple which is 20.0x . Hence, no value is generated from re-rating.

- Deleveraging contributes essentially nothing too as the total debt rises from Rs.43,164mm to Rs.47,282mm in the fourth year before ending the hold at Rs.46,390mm. This is because, a business compounding revenue at 20% every year must also compound its capital expenditure and working capital investment at a somewhat similar rate to support the growth. Together, these consume nearly all cash that the business generates, leaving little to service acquisition debt yet alone repay the same.

- This leaves EBITDA growth as the sole driver of the return. EBITDA more than doubles over the hold period, from ₹6,540mm to ₹17,676mm, with a 20% revenue CAGR and a somewhat modest margin expansion from 29.4% to 31.9%. The entire 3.35x MOIC is explained by this growth alone. This is fundamentally a bet on Vinati sustaining a 20% revenue CAGR for five consecutive years. A sponsor underwriting this deal would be underwriting a growth story, and the debt structure exists to amplify that growth into an equity return rather than to generate return on its own.

Sensitivity Analysis

Entry Multiple vs. Exit Multiple (IRR)

27.4%	**16x**	**18x**	**20x**	**22x**	**24x**
16x	29.62%	33.28%	36.58%	39.59%	42.36%
18x	24.80%	28.33%	31.51%	34.40%	37.07%
20x	20.89%	24.31%	27.39%	30.19%	32.78%
22x	17.62%	20.94%	23.94%	26.67%	29.18%
24x	14.81%	18.06%	20.98%	23.65%	26.10%

Revenue Growth vs. Leverage (IRR)

27.4%	**5**	**6.6**	**8**
15%	20.05%	21.10%	22.20%
18%	23.59%	24.90%	26.26%
20%	25.93%	27.39%	28.90%
22%	28.24%	29.85%	31.50%
25%	31.68%	33.49%	35.34%

- Since the base-case return (3.35x MOIC, 27.4% IRR) rests on several forward assumptions, two sensitivities were run to stress-test it i.e. Entry Multiple vs. Exit Multiple (IRR) and Revenue Growth vs. Leverage (IRR).

- **Entry Multiple vs. Exit Multiple-** The base case of a 20x entry and 20x exit is in the middle of this grid at 27.4% IRR. At the most favourable end, buying in cheaper at 16x and exiting richer at 24x pushes the IRR up to 42.4% whereas, at the least favourable end, buying in at a rich 24x and exiting flat at 16x brings it down to 14.8%. Even along the diagonal, where entry and exit multiples are equal and no re-rating is assumed at all, IRR still holds above roughly 21% across the full 16x-24x range. This tells us the deal is fairly resilient to entry pricing.

- **Revenue Growth vs. Leverage-** Moving leverage from a somewhat conservative 5.0x to an 8.0x EBITDA shifts the IRR by about 1 to 2 percentage points only at any given growth rate, which is surprisingly a small effect for what looks like a meaningful change in financial risk. Revenue growth, on the other hand, moves far more, shifting from 15% to 25% CAGR at constant leverage lifts the IRR from roughly 21% to 34%, a swing of nearly 12 percentage points. The reason leverage matters so little here is because debt is barely being repaid over the hold period in the first place, so adding more of it mostly adds interest cost and refinancing risk without generating a matching return benefit.

- Taken together, these two grids point to the same conclusion i.e. this is fundamentally a growth bet, not a leverage bet. The debt structure exists to amplify the equity return that Vinati's underlying growth generates, but it cannot manufacture a return on its own the way deleveraging might in a more conventional buyout. A sponsor evaluating this deal should therefore concentrate diligence on the credibility of the 20% growth assumption, not on optimizing the capital structure.

Conclusion and Recommendation

- This report set out to test two questions: first being whether the Indian speciality chemicals sector is a credible ground for leveraged buyouts despite the structural constraints Indian acquirers face in financing such deals and second, whether a genuinely high-quality, debt-free company like Vinati Organics stands up as a specific candidate within that sector. The answer to both the questions is a yes.

- Speciality chemicals is the strongest-performing pillar of India's broader chemicals industry, and structural tailwinds, the China+1 manufacturing shift, the rise of CRAMS-based contract manufacturing, and supportive policy around FDI and green chemistry gives the sector the specific characteristics a lender or sponsor looks for i.e. recurring, contracted-style revenue, high switching costs, and capital intensity that discourages the new entrants. Despite India's shallow acquisition-debt markets, this is a sector capable of supporting leveraged transactions in principle.

- The answer to the second question is more nuanced. Vinati's business fundamentals are genuinely strong, durable margins, a real competitive moat in its core products, and a management team executing a credible growth plan. But the Company is also richly priced by public markets, trading at roughly 20x EBITDA rather than a discounted or overlooked multiple, and its own growth ambitions are themselves capital-intensive, consuming most of the cash flow that would otherwise service acquisition debt. As a result, the modelled transaction offers little of the downside protection which is cheap entry pricing, meaningful deleveraging that typically cushions a leveraged buyout. The projected return of 3.35x MOIC and 27.4% IRR is real and attractive on paper, but it rests almost entirely on one assumption: that Vinati sustains a 20% revenue CAGR for five consecutive years, a rate the Company has guided toward but has not recently delivered.

- In a nutshell, **the sector is well-suited to leverage; this specific asset is well-run but too richly priced for that leverage to do much of the work.**

- **Recommendation-** Proceed, but make sure **it's conditional on growth diligence, not financial structuring**. This is because leverage contributes little to this return and debt is not meaningfully repaid during hold period of 5 years. The investment decision should rest on the credibility of the underlying growth thesis which is new capacity, product diversification into food additives and fragrance chemicals, and continued import-substitution demand not on aggressiveness of the capital structure. A sponsor should also build in a revolving credit facility or contingent equity commitment to bridge the negative free cash flow the model shows in Years 1 through 4, since the structure as modelled has no built-in cushion if growth falls short of plan. Absent strong conviction in sustained 20%+ growth, the deal does not clear the bar; with it, the return is well above a typical hurdle rate.